

PARDEE RESOURCES COMPANY

3RD QUARTER 2020



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q3 2020, Pardee Resources Company earned \$2.67 per share, 34% below the \$4.07 per share earned during Q3 2019. EBITDA was \$5.57 per share, 26% below our EBITDA of \$7.56 per share earned during Q3 2019. While our financial results during the quarter continued to be impacted by the economic downturn, we experienced improvements in a number of areas, including coal and timber production from our properties, both of which increased from Q2 levels; and natural gas prices, which also improved versus the prior quarter. Additionally, real estate sales and our new hunting lease initiative contributed meaningfully to our Q3 results. While encouraged by these recent improvements, we remain guarded in our near term outlook due to the recent resurgence of COVID-19 cases worldwide.

Coal & Minerals Division: The metallurgical coal markets remained under pressure during the quarter, as world-wide steel demand was negatively impacted by the COVID-19 pandemic. U.S. met coal exports are expected to total 39 million tons (mt) in 2020, down from 48 mt in 2019; while domestic sales are expected to fall to 16 mt this year, down from 21.4 mt in 2019. Nonetheless, high quality U.S. met coals have established an important niche in world markets, with production and prices trending upwards in early Q4 2020. Our met coal properties are well-positioned to benefit as the markets improve due to their high quality reserves and existing infrastructure.

Oil & Gas Division: While improved from Q2, natural gas prices remained stubbornly low during the quarter, averaging \$1.35 per MMBtu (Central Appalachian Basin), or 27% below Q3 2019 levels. Cooler-than-normal temperatures in late summer reduced electric power sector demand while hurricane activity in the Gulf hindered LNG exports. Our oil and gas revenues during the quarter were 37% below Q3 2019 levels, as a 28% decline in prices and 7.8% decline in production negatively impacted our results. The consistently weak prices have led producers to reduce their drilling efforts, and U.S. natural gas production is expected to fall during 2020 after reaching record levels in 2019. With production declining, natural gas prices have recently been on the rise, and the average futures price for Q4 2020 is currently \$2.05 per MMBtu and \$2.61 per MMBtu for all of 2021.

Timber & Surface Division: Demand for both hardwood and softwood improved during the quarter, as the economy began to recover from the sharp Q2 declines caused by the COVID-19 pandemic. U.S. home construction and DIY markets were especially strong, leading to an increase in both demand and prices for lumber. Though standing inventories of harvestable logs remained high, stumpage prices began to improve towards the end of the quarter, reversing the recent downward trend. Production from our properties improved during the quarter due to favorable weather and markets. Real estate sales, including a permanent cell tower easement, generated \$575,000 in gains during the quarter, while our expanded hunting lease program involving our central West Virginia acreage contributed \$294,000 in annual dues.

Agriculture Division: The summer months brought several challenges to the Southern California farming industry, including excessive heat, smoke from area forest fires which

hindered sunlight, and COVID-related labor shortages. Nevertheless, as of mid-October 2020, table grape boxes harvested from our two ranches are expected to exceed last year's totals by over 50%, as our largest Ranch 370 has recovered from the 2018 freeze event. Average prices are expected to be marginally higher than last year as well, despite some market challenges related to COVID-19. Finally, our 390-acre almond farm in Portugal continues to develop on plan, with our first commercial harvest due in 2021.

Alternative Energy Division: The operation and maintenance of our solar PV systems continued with no impacts from COVID-19 during the quarter. Lord & Taylor, which hosts three of our PV systems in New Jersey, moved to close all of its retail outlets amid ongoing bankruptcy proceedings. While it is likely the power purchase agreements associated with these three sites will be terminated, we expect to enter into new contracts with the current building owners with no material impact to Pardee. In July 2020, the DC Solar Bankruptcy Court approved the sale of all of the mobile solar generators (MSGs) owned by Pardee's DC Solar Fund along with those of the other DC Solar Funds. The buyer closed on the purchase of 113 MSGs from the Pardee DC Solar Fund in September which generated sale proceeds of \$412,225. The sale proceeds are being held by the bankruptcy trustee pending further order of the Bankruptcy Court. We are currently assessing the impact of this sale on our 2020 financial statements. Our DC Solar investment represents a potential loss of up to \$7.2 million to the Company (For more information on the DC Solar matter, please see the legal footnote on page 6 of this report).

Strategic Focus: In order to protect the health and welfare of our personnel, Board of Directors, and business partners, we continued to work remotely during the quarter. We are particularly grateful to our employees, whose dedication and professionalism during the COVID-19 pandemic is carrying our Company through yet another of the many external crises faced over our long history. While maintaining our strong financial position, which as of September 30, 2020, included \$23.4 million in cash and no debt, and prioritizing the payment of our common dividends, we continue to search for new investment opportunities within our areas of expertise.

*Please see page 6 for an update on legal matters.

Sincerely yours,



Chairman
Benjamin A. Burditt

Corporate Office
Pardee Resources Company
1717 Arch Street, Suite 4010
Philadelphia, PA 19103
(215) 405-1260
pardee@pardee.com



President & CEO
Carleton P. Erdman

Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	<u>09-30-20</u>	<u>12-31-19</u>
Current Assets:		
Cash & Cash Equivalents	\$23,444	\$22,239
Accounts Receivable	5,977	7,099
Prepaid Income Taxes	80	802
Other	<u>4,690</u>	<u>1,405</u>
	<u>34,191</u>	<u>31,545</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	29,045	29,600
Mineral Rights - Coal	33,528	33,618
Timber	10,726	11,181
Solar Equipment	22,162	23,145
Building & Structures	1,293	1,355
Agriculture Development	8,735	7,367
Equipment	567	619
Automobiles	139	86
Other Fixed Assets	<u>991</u>	<u>864</u>
	<u>107,186</u>	<u>107,835</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	39,198	41,301
Equity Investments	522	442
Right of Use Asset	3,556	3,841
Other	<u>0</u>	<u>104</u>
Total Assets	<u><u>\$184,653</u></u>	<u><u>\$185,068</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$2,332	\$2,175
Deferred Revenues	294	1,096
Current Portion Lease Liability	<u>585</u>	<u>584</u>
	3,211	3,855
Noncurrent Liabilities:		
Asset Retirement Liability	157	154
Supplemental Pension Plan	439	425
Deferred Revenue, Net of Current Portion	1,247	1,275
Deferred Taxes	17,820	17,819
Lease Liability	3,238	3,544
Other	<u>72</u>	<u>58</u>
Total Liabilities	<u>26,184</u>	<u>27,130</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	14,265	14,905
Accumulated Other Comprehensive Income	41	41
Retained Earnings	165,265	166,562
Treasury Stock	<u>(26,045)</u>	<u>(27,347)</u>
	154,301	154,936
Noncontrolling Interest	<u>4,168</u>	<u>3,002</u>
Total Equity	<u>158,469</u>	<u>157,938</u>
Total Liabilities & Equity	<u><u>\$184,653</u></u>	<u><u>\$185,068</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>09-30-20</u>	Three Months Ended <u>09-30-19</u>	Nine Months Ended <u>09-30-20</u>	Nine Months Ended <u>09-30-19</u>
Divisional Revenues:				
Coal & Minerals	\$2,468	\$3,747	\$6,408	\$13,433
Oil & Gas	1,069	1,713	3,448	5,683
Timber & Surface	2,230	1,710	4,056	4,267
Alternative Energy	1,210	1,228	3,370	3,200
Agriculture	<u>0</u>	<u>0</u>	<u>253</u>	<u>0</u>
	<u>6,977</u>	<u>8,398</u>	<u>17,535</u>	<u>26,583</u>
Divisional Expenses:				
Coal & Minerals	970	639	2,528	1,999
Oil & Gas	998	1,021	3,301	3,709
Timber & Surface	740	736	2,230	2,191
Alternative Energy	568	788	1,663	2,122
Agriculture	<u>163</u>	<u>100</u>	<u>596</u>	<u>438</u>
	<u>3,439</u>	<u>3,284</u>	<u>10,318</u>	<u>10,459</u>
Net Operating Income	\$3,538	\$5,114	\$7,217	\$16,124
Interest and Other Income	14	35	102	151
Gain on Equity Investment	59	27	106	55
General and Administrative	(1,266)	(1,484)	(4,429)	(4,983)
Interest Expense	<u>0</u>	<u>(39)</u>	<u>0</u>	<u>(170)</u>
Income Before Taxes	\$2,345	\$3,653	\$2,996	\$11,177
Taxes	<u>625</u>	<u>950</u>	<u>794</u>	<u>2,906</u>
NET INCOME	\$1,720	\$2,703	\$2,202	\$8,271
Net Loss - Noncontrolling Interest	<u>23</u>	<u>7</u>	<u>17</u>	<u>43</u>
Net Income - Pardee Resources				
Shareholders	<u>\$1,743</u>	<u>\$2,710</u>	<u>\$2,219</u>	<u>\$8,314</u>
EARNINGS PER SHARE	<u>\$2.67</u>	<u>\$4.07</u>	<u>\$3.39</u>	<u>\$12.49</u>
EBITDA PER SHARE	<u>\$5.57</u>	<u>\$7.56</u>	<u>\$10.73</u>	<u>\$23.30</u>
(earnings before interest, taxes, depreciation and amortization)				
Weighted Average Number of Common Shares Outstanding	<u>653,983</u>	<u>665,190</u>	<u>653,983</u>	<u>665,648</u>
Common Dividend Per Share	<u>\$1.80</u>	<u>\$1.80</u>	<u>\$5.40</u>	<u>\$5.40</u>
Total Shareholder Return (dividend paid plus change in stock price)			<u>-10.86%</u>	<u>2.65%</u>

Pardee Resources Company Comparison Data Sheet

	Three Months Ended <u>09-30-20</u>	Three Months Ended <u>09-30-19</u>	% <u>Change</u>	Nine Months Ended <u>09-30-20</u>	Nine Months Ended <u>09-30-19</u>	% <u>Change</u>
Coal & Minerals						
Revenues - Millions	\$2.47	\$3.75	-34.1%	\$6.41	\$13.43	-52.3%
Production - Coal Tons - Millions	0.51	0.78	-34.6%	1.35	2.46	-45.1%
Royalty/Coal Ton	\$3.14	\$3.76	-16.5%	\$3.07	\$4.24	-27.6%
Oil & Gas						
Revenues - Millions	\$1.07	\$1.71	-37.4%	\$3.45	\$5.68	-39.3%
Production - bcfe	0.59	0.64	-7.8%	1.88	1.85	1.6%
Price/mcfe	\$1.69	\$2.36	-28.4%	\$1.77	\$2.81	-37.0%
Timber & Surface						
Revenues - Millions	\$2.23	\$1.71	30.4%	\$4.06	\$4.27	-4.9%
Production - Board feet - Millions	4.87	3.80	28.2%	9.04	8.50	6.4%
Stumpage Price/Thousand Bd. Ft.	\$182.74	\$226.62	-19.4%	\$193.84	\$230.09	-15.8%
Production - Softwood Tons - Thousands	25.44	0.00	n/a	46.12	13.67	237.4%
Stumpage Price/Ton Softwood	\$13.46	\$0.00	n/a	\$14.28	\$15.71	-9.1%
Production - Hardwood Tons - Thousands	12.68	6.90	83.8%	26.64	17.56	51.7%
Stumpage Price/Ton Hardwood	\$2.56	\$1.72	48.8%	\$2.32	\$2.59	-10.4%
Alternative Energy						
Revenues - Millions	\$1.21	\$1.23	-1.6%	\$3.37	\$3.20	5.3%
Production - k/w - Millions	5.11	5.13	-0.4%	14.69	14.20	3.5%
Electric Sales Price per k/w	\$0.110	\$0.114	-3.5%	\$0.111	\$0.114	-2.6%
Production - SREC Units	5,118	3,023	69.3%	14,342	7,863	82.4%
SREC Price/Credit	\$122	\$205	-40.5%	\$116	\$191	-39.3%
NET DIVISIONAL OPERATING INCOME:						
(Dollars in Millions)						
Coal & Minerals	\$1.50	\$3.11	-51.8%	\$3.88	\$11.43	-66.1%
Oil & Gas	0.07	0.69	-89.9%	0.15	1.97	-92.4%
Timber & Surface	1.49	0.97	53.6%	1.83	2.08	-12.0%
Alternative Energy	0.64	0.44	45.5%	1.71	1.08	58.3%
Agriculture	(0.16)	(0.10)	-60.0%	(0.34)	(0.44)	22.7%
Net Operating Income	<u>\$3.54</u>	<u>\$5.11</u>	-30.7%	<u>\$7.23</u>	<u>\$16.12</u>	-55.1%
EBITDA - Millions	<u>\$3.64</u>	<u>\$5.03</u>	-27.6%	<u>\$7.02</u>	<u>\$15.51</u>	-54.7%
(earnings before interest, taxes, depreciation and amortization)						

Lexington v. Zinn

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

Discovery is not complete, and a trial date has not been set. On October 16, 2019, the district court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This is a favorable development but is being appealed by the plaintiff.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. The Company learned through public sources in early 2019 that the U.S. government seized substantially all of the assets of DC Solar and its affiliates in December 2018. DC Solar and its affiliates, including our lessee, subsequently filed for Chapter 11 bankruptcy protection in February 2019. An affidavit from a Federal Bureau of Investigation special agent was filed in February 2019 in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceeding was subsequently converted to a Chapter 7 liquidation. Due to the bankruptcy proceedings being converted to Chapter 7 liquidation, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

An independent audit was completed in 2019 which ultimately located and identified all of the 125 MSGs purchased by the Fund in 2015. In November 2019, the Company and the Fund, along with other investors in other DC Solar sponsored funds and the funds in which they invested, filed a legal action against numerous third-party professional firms who provided services to the investors in connection with their respective purchases of the MSGs. In January 2020, the principals of DC Solar pled guilty to charges of criminal fraud and money laundering in U.S. District Court. In July 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar Funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the 125 MSGs located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding \$412,225 in gross sale proceeds. Those proceeds are being held in trust by the DC Solar bankruptcy trustee pending further order of the Bankruptcy Court.

The Company remains vigorously engaged with other DC Solar investors, which include several major insurance companies and banks, to determine the best path forward to protect our interests and minimize the financial impact on the Company arising from this fraud. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$7.2 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

Pardee Resources Company
1717 Arch Street, Suite 4010
Philadelphia, PA 19103-2739